

Case Study

dealers send the list of applicants as faxes, and there are days we get 2,000 such forms which run into 1,000 pages." In addition, the company has to generate reports like any service organisation, for its clients as well as for itself. All this formed the major tasks for the printers in their office.

For the past two years, the management observed the increase in printing. They had a combination of dot matrix and HP laser printers. The Electronic Data Processing (EDP) Head, Harkishan Kohli observed that the output of the printers was not only lower, but quite expensive as they had to change a toner cartridge every second month.

They tried working more with dot matrix printers, but they are slow, and can't keep pace with deadlines. So, NCCB decided to replace them with laser printers. However, laser printers for a small organisation are a huge investment. For an office set up, the laser printers

Statistical Figures

Cost incurred before WeP

Cost of toner	Rs 3,200
Initial refilling	Rs 400
Second refilling	Rs 400
No of prints per month	20,000
Total cost per month	Rs 14,000

Operating cost of a laser printer

Including initial cost dep./interest and other overheads	Rs 4,000
Total cost	Rs 22,000

Cost incurred after WeP

@ 85 paise per printout	
Total cost per month $0.85 \times 20,000$	Rs 17,000
Total annual savings	Rs 60,000

that are used are in the range of two to three lakhs. For a small businessman, such as Arora, the last resort was to ask the companies, which are his clients, to sponsor printers.

A possible solution

The answers to problems often come when you least expect it, and from the strangest of sources. Nehru Place in Delhi is one of the largest markets in Asia for IT goods. It began as



Anand Thomas
WeP Peripherals
Pvt Ltd

Vendorspeak

"Thirty per cent of our business comes from outsourced printing. The printers are allotted after a careful study of the company's requirement. Currently WeP share of NCCB printing is over 60 per cent. We have two state-of-the art manufacturing facilities in Mysore and Hyderabad that have a combined capacity to manufacture two lakh printers and one lakh UPS per year. This enables us to offer competitive rates to our customers. Our service ensures our clients only keep growing."

Outsourcing for printing comes across as expensive, but only initially. In the long run, it can surely save you quite a lot of money

a grey market for computer goods, but now houses some of the best names in software. Arora was on a casual visit to the place, and encountered an acquaintance, who told him about Wipro e-Peripherals (WeP). He was told that WeP undertakes outsourced printing. Arora knew of outsourcing, but for printing?

His EDP head, Harikishan Kohli, was deployed to make more enquiries. Kohli was so impressed with the concept, and the benefits, that he convinced the management to give the company an audience. When asked what factors prompted them to choose WeP. Arora answered, "WeP happened at a time when we needed more printers, and at affordable costs, so I was willing to try the service." Adds Kohli, "From the presentation, it was obvious that we had a win-win situation, so considering the cost, service and efficiency factor, we decided to experiment with WeP and the service it offered."

The Process

WeP charged according to the consumption of paper on a monthly basis. NCCB and WeP agreed to an initial monthly commitment of 10,000 pages charged at 95 paise per page.

Anand Thomas, Business Head and Chief Technological Officer of WeP Peripherals, says, "Initially, NCCB started with a personal

Business Outsourcing of Printing

It is a relatively new concept for Indian companies, with great potential. Outsourcing has helped service sector industries such as banks, financial institutions and insurance companies, BPOs (Business Processing Outsourcing), software companies and E-Learning companies.

Some companies have ventured into the sector. In the complete business outsourcing-printing segment, WeP and Canon offer services to various segments from SMEs to large corporations. This means, once you avail these services, you pay them on the basis of the paper consumption. According to

Lakshminarayan Rao, Assistant Director OSF Value, Canon, "The key consideration, when selecting the printing service for SMEs and SoHos, is that the vendor must have a wide product portfolio that allows one to choose according to requirements."

The future of printing looks promising. WeP has already set up a network of public and private print points, which will offer printing services



ranging from impact printing to high-end colour printing within the next two or three years. Mobile printing is also on the anvil. This means subscribers to WeP printing service would have the facility of printing from any smart device-PDAs, Pocket PCs, and mobile

phones apart from tradition devices such as Desktops, Notebooks and Tablet PCs.

Other companies are also likely to follow suit. The outlook is bright alright!

Illustration: Mahesh Benkar